Ans. (b) : The Finance Ministry of India is an important ministry concerned with the economy of India. It is comprised of five departments one of which is the Department of Economic Affairs. It is the nodal agency of central government whose principal task is to prepare and present the Union Budget before the Parliament.

57. Consider the following actions by the Government:

1. Cutting the tax rates

2. Increasing the government spending

3. Abolishing the subsidies

In the context of economic recession, which of the above actions can be considered a part of the "fiscal stimulus" package?

(a) 1 and 2 only (b) 2 only

(c) 1 and 3 only (d) 1, 2 only 3

Ans. (a) : In the 'fiscal stimulus' package either taxes are reduced or government spending is increased to increase the purchasing power of the people.

58. When the Reserve Bank of India announces an increase of the Cash Reserve Ratio, what does it mean?

(a) The commercial banks will have less money to lend

(b) The Reserve Bank of India will have less money to lend

(c) The Union Government will have less money to lend

(d) The commercial banks will have more money to lend

Ans. (a) : Increase in Cash Reserve Ratio (CRR) means that the banks have to deposit more with the RBI and will have less to lend to the borrowers.

59. With reference to India, consider the following statements:

1. The Wholesale Price Index (WPI) in India is available on a monthly basis only.

2. As compared to Consumer Price Index for Industrial Workers (CPI/(IW)), the WPI gives less weight to food articles.

Which of the statements given above is/are correct?

(a) 1 only (b) 2 only

(c) Both 1 and 2 (d) Neither 1 and 2

Ans. (b) : As compared to Consumer price Index for Industrial Workers (CPI/(IW)), the WPI gives less weight to food articles this statement will be correct. But acceding to present data both statement are correct because earlier WPI was available on weekly basis. Now it has changed to monthly basis. Weight of food items-WPI-food Articles-15.402% and food products-11.538%, Consumer Price Index for Industrial workers (CPI (IW)]-57%. The weightage of primary articles in new WPI is 22.62% in 2017.

60. In the context of Indian economy, consider the following pairs:

Term	Most appropriate description
1. Melt down	Fall in stock prices
2. Recession	Fall in growth rate
3. Slow down	Fall in GDP

Which of the pairs given above is/are correctly matched?

(a) 1 only (b) 2 and 3 only

(c) 1 and 3 only (d) 1, 2 and 3

Ans. (a) : Melt down is the term used for weakness in the financial markets which implies security prices. Recession means negative growth and fall in GDP. Slow down means reduction in the growth rate of GDP.

61. In India, the interest rate on savings accounts in all the nationalized commercial banks is fixed by:

(a) Union Ministry of Finance

(b) Union Commission of Finance

(c) Indian Banks Association

(d) None of the above

Ans. (d) : The interest rate on savings accounts in all the nationalised commercial banks is fixed by the Reserve Bank of India (RBI). This is done to ensure that the banks do not discriminate among the depositors and also to create a level-playing field in the banking sector.

RBI, however, allows the nationalised commercial banks to slightly moderate the interest rates offer on term deposits.

62. Which of the following terms indicates a mechanism used by commercial banks for providing credit to the government?

(a) Cash Credit Ratio

(b) Debt Service Obligation

(c) Liquidity Adjustment Facility

(d) Statutory Liquidity Ratio

Ans. (d) : Statutory Liquidity Ratio (SLR) is the mechanism used by the RBI to regulate the liquidity of the commercial banks. Under SLR, commercial banks invest a certain percentage of their money in Government securities and other assets like gold so as to comply with RBI guidelines.

63. In order to comply with TRIPS Agreement, India enacted the Geographical Indications of Goods (Registration & Protection) Act, 1999. The difference/differences between a "Trade Mark" and a Geographical Indication is/are

1. A Trade Mark is an individual or a company's right whereas a Geographical Indication is a community's right.

2. A Trade Mark can be licensed whereas a Geographical Indication cannot be licensed

3. A Trade Mark is assigned to the manufacture goods whereas the Geographical Indication is assigned to the agricultural goods/products and handicrafts only.

Which of the statements given above is/are correct?

(a) 1 only (b) 1 and 2 only

(c) 2 and 3 only (d) 1, 2 and 3

Ans. (b) : A trademark is a distinctive sign or indicator used by an individual, business organization, or other legal entity to identify that the products or services to consumers with which the trademark appears originate from a unique source, and to distinguish its products or services from those of other entities. The owner of a registered trademark may commence legal proceedings for trademark infringement to prevent unauthorized use of that trademark. However, registration is not required.

64. Which one of the following statements is an appropriate description of deflation?

(a) It is a sudden fall in the value of a currency against other currencies

(b) It is a persistent recession in both the financial and real sectors of economy

(c) It is a persistent fall in the general price level of goods and services

(d) It is a fall in the rate of inflation over a period of time

Ans. (c) : When there is a continuous fall in the price levels of goods and services over a period of time, it is called deflation. Under such condition, the rate of inflation falls below 0%.

65. With reference to the Non-banking Financial Companies (NBFCs) in India, consider the following statements:

1. They cannot engage in the acquisition of securities issued by the government.

2. They cannot accept demand deposits like Savings

Which of statements given above is/are correct?

(a) 1 only (b) 2 only

(c) Both 1 and 2 (d) Neither 1 nor 2

Ans. (b) : A Non-Banking Financial Company (NBFC) is a company registered under the Companies Act, 1956. NBFCs lend and make investments and hence their activities are akin to that of banks however they cannot accept demand deposits. Also, they do not form part of the payment and settlement system of RBI and cannot issue cheques drawn on itself.

66. Which one of the following was not stipulated in the Fiscal Responsibility and Budget Management Act, 2003?

(a) Elimination of revenue deficit by the end of the fiscal year 2007-08

(b) Non-borrowing by the central government from Reserve Bank of India except under certain circumstances

(c) Elimination of primary deficit by the end of the fiscal year 2008-09

(d) Fixing government guarantees in any financial year as a percentage of GDP

Ans. (c) : In the FRBM Act, the target has been set for reduction in revenue deficit and fiscal deficit only and not for primary deficit.

67. In the parlance of financial investments, the term 'bear' denotes

(a) An investor who feels that the price of particular security is going to fall

(b) An investor who expects the price of particular shares to rise

(c) A shareholder or a bondholder who has an interest in a company, financial or otherwise

(d) Any lender whether by making a loan or buying a bond.

Ans. (a) : The term bear denotes an investor who believes that a particular security or market is headed downward. Bears attempt to profit from a decline in prices. Bears are generally pessimistic about the state of a given market. Bearish sentiment can be applied to all types of markets including commodity markets, stock markets and the bond market.

PHYSICS

68. What is the principle by which a cooling system (Radiator) in a motor car works?

(a) Conduction only

(b) Convection

(c) Radiation only

(d) Both conduction and radiation

Ans. (b) : In a car radiator, the coolant liquid flows through the tubes inside combustion engine and absorbs the engine's heat and in-turn gets heated itself.

The heated fluid then makes its way through a rubber hose to the radiator in the front of the car. As it flows through the thin tubes in the radiator, the hot liquid is cooled by the air stream entering the engine compartment from the grill in front of the car. Once the fluid is cooled, it returns to the engine to absorb more heat.

The air picks up heat from the coolant by convection process, i.e. heated air is blown away by the fan, and colder air replaces it.

CHEMISTRY

69. Excessive release of the pollutant carbon monoxide (CO) into the air may produce a condition in which oxygen supply in the human body decreases. What causes this condition?

(a) When inhaled into the human body, CO is converted into CO_2

(b) The inhaled CO has much higher affinity for haemoglobin as compared to oxygen.